breakout. Just over a month later (B), investors had another opportunity to add to their positions before the decline resumed.

Stop location. Should the trade go against you, place a stop-loss order 10 or 15 cents above the nearest high. Since the three tops establish a resistance area, price will not hit the stop order until the resistance burns through. Sometimes a fourth peak will appear before price moves down.

Table 68.7 gives the probabilities of a stock rising to various locations during its journey to the ultimate low. If you hold onto the stock past the ultimate low, then ignore the table. It doesn't apply.

Once you have a stop location in mind, then do convert the potential loss into a percentage of the current price to determine how loud you should yell if the stop triggers.

Busted trade. Single busted triple tops in bull markets can lead to huge gains, at least that's what the numbers suggest in Table 68.9. If you want to make money trading triple tops, stick to those which bust in bull markets.

Experience

I couldn't recall ever trading a triple top. It's a bearish pattern, and I have no desire to short a pattern with such poor performance. However, perhaps in the early days of my trading career, I may have been scared out of a long position or two by storm clouds forming a triple top.

Hartford Financial Services Group Inc.

A check of my spreadsheet of trades surprised me. I found two trades, both in the same stock, sold on the same day, but bought at different times. The stock was Hartford Financial Services Group Inc. (HIG) in late 2009, after the bear market ended. I won't go into the two buys except to say that one remark in my trading notebook caught my eye: “Hold this until it hits 60 to 80 or more.” The stock was trading at about $25 a share at the time. Wishful thinking? Was I dreaming?

The stock *did* reach 60 for the first time in 2019, which was 10 years later. That's a long time to hold onto a stock, waiting for it to more than double.